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VALUATION REPORT

Demo Precision Components Pvt Ltd

Equity value and value of a 28% stake as at 31 March 2026

Asset, income and market approaches

ILLUSTRATIVE SAMPLE · FICTIONAL COMPANY

PREPARED FOR The Board and shareholders, Demo Precision Components Private Limited	PREPARED BY AlphaZet Services, Ahmedabad
VALUATION DATE 31 March 2026	REPORT DATE 28 April 2026
PURPOSE Illustrative: buy-out of a retiring director's 28% stake	STANDARD OF VALUE Fair value, going concern

This document is a sample created to show the structure and depth of our valuation work for an established company. The company, its shareholders and every number in it are invented. It is not based on any client and must not be used for any decision, filing or transaction.

Executive summary

Equity value (100%)	28% stake, pro rata	28% stake, after discount
Rs 258 lakh	**Rs 72 lakh**	**Rs 61 lakh**
weighted conclusion	before discount	15% minority/marketability

A retiring director holds 28% of Demo Precision Components Private Limited (the Company, fictional). The other shareholders have agreed in principle to buy that stake and asked for an independent valuation as a basis for negotiation.

We used three approaches: adjusted net asset value, capitalisation of maintainable earnings and an EV/EBITDA multiple. We gave the market multiple the highest weight because the Company is an established manufacturer with stable earnings and a meaningful asset base, and the other two methods a quarter each.

Method	Equity value (Rs lakh)	Weight	Weighted (Rs lakh)
Adjusted net asset value	249.6	25%	62.4
Capitalisation of earnings	187.3	25%	46.8
EV/EBITDA multiple (5.0x)	296.8	50%	148.4
Equity value, 100%		100%	257.6
28% stake, pro rata			72.1
Less: 15% discount for minority and lack of marketability			(10.8)
Indicative value of the 28% stake			61.3

Reading the result

The three methods give values between Rs 187 and 297 lakh. The spread is wide because the earnings methods ignore the land and building that the asset method values at market. The parties should read the weighted value as a negotiating anchor, not a price.

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Engagement, purpose and scope

Purpose. To estimate the fair value of 100% of the equity of the Company and of a 28% minority stake, as a basis for negotiation between existing shareholders. The report is not prepared for a statutory filing or tax purpose.

Item	Detail
Subject	100% equity and a 28% stake in Demo Precision Components Private Limited (fictional)
Valuation date	31 March 2026
Standard of value	Fair value: price between a willing buyer and a willing seller, both with reasonable knowledge
Premise	Going concern
Approaches applied	Asset (adjusted net asset value), income (capitalisation of earnings), market (EV/EBITDA)
Currency and unit	Indian rupees, Rs lakh unless stated

Information relied on

- Audited financial statements for FY24 and FY25; management estimate for FY26.
- Budget for FY27, as used in the bank's credit proposal.
- Fixed asset register, stock and debtors ageing, and a valuation note on the industrial shed.
- Shareholders' agreement and articles of association (transfer restrictions and pre-emption rights).

What we did not do

We did not audit the information, test title to the property, or review contracts or litigation. Management representations are listed in the declaration.

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Company overview

Demo Precision Components Private Limited (fictional) was incorporated in 2014 in Gujarat. It makes machined and turned components for engineering and auto-ancillary customers, runs one unit with 41 employees, and sells mainly to a small group of regular customers.

Item	Detail
Products	Turned and milled components, fasteners, assemblies on order
Customers	18 active; the top 3 account for 46% of sales (concentration noted)
Installed capacity	About 70% utilised at present
Employees	41 (28 on the shop floor)
Property	Industrial shed owned; plant and machinery financed by a term loan

Shareholding at the valuation date (fictional)

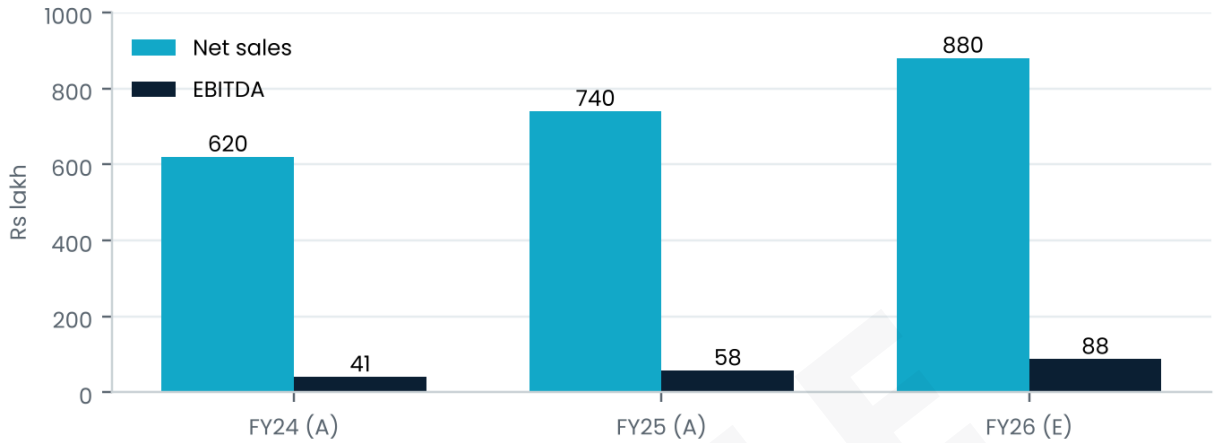
Shareholder	Shares	Holding
Director A	41,000	41.0%
Director B (retiring)	28,000	28.0%
Director C	21,000	21.0%
Family trust of Director A	10,000	10.0%
Total	100,000	100.0%

Customer concentration and a single unit are the main business risks. The shareholders' agreement gives the other shareholders a right of first refusal on any transfer, which supports a negotiated sale at fair value.

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Historical financial analysis



Rs lakh	FY24 (A)	FY25 (A)	FY26 (E)
Net sales	620.0	740.0	880.0
EBITDA	41.0	58.0	88.0
EBITDA margin	6.6%	7.8%	10.0%
Profit after tax	14.7	22.1	35.2
PAT margin	2.4%	3.0%	4.0%

Sales grew 19% and 19% over the last two years. EBITDA margin improved from 6.6% to 10.0% as purchasing scaled and fixed costs were spread over more output. FY26 figures are management estimates and should be replaced with audited figures when available.

Net debt at the valuation date

Rs lakh	Amount
Cash credit outstanding	88.1
Term loan outstanding	64.0
Less: cash and bank	(8.9)
Net debt	143.2

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Valuation approach

Approach	Method	Weight	Why
Asset	Adjusted net asset value	25%	The Company owns property and plant; book values understate the shed. Gives a floor.
Income	Capitalisation of maintainable earnings	25%	Earnings are stable, so a single capitalised figure is reasonable.
Market	EV/EBITDA multiple	50%	Buyers of small manufacturers commonly price on EBITDA. Multiple here is assumed.

Why not a full DCF

A five-year DCF needs reliable long-range projections. This Company has one year of budget and concentrated customers, so a DCF would add apparent precision without added reliability. For a growth business we would use it as the primary method (see our sample startup valuation).

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Asset approach: adjusted net asset value

Rs lakh	Amount
Tangible net worth per balance sheet (FY26 estimate)	192.1
Revalue industrial shed to market value (Rs 150 lakh vs book Rs 60 lakh)	90.0
Provide for slow-moving stock	(6.0)
Provide for doubtful debts over 180 days	(4.0)
Deferred tax on revaluation (25% of the revaluation gain, illustrative)	(22.5)
Adjusted net asset value	249.6

The revaluation of the industrial shed is the main adjustment. A live engagement relies on an independent property valuation report and shows the comparison used. The tax effect is illustrative. This method ignores goodwill and the earning power of the business, so it is treated as a floor and given 25% weight.

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Income approach: capitalisation of maintainable earnings

Maintainable profit is the profit we expect the business to earn in a normal year. We weight the three most recent and nearest years (FY25, FY26, FY27 budget) 1:2:3, giving more weight to later figures because margins have been improving.

Rs lakh	FY25 (A)	FY26 (E)	FY27 (B)
Profit after tax	22.1	35.2	44.1
Weight	1	2	3
Weighted profit	22.1	70.4	132.3

Step	Value
Maintainable profit (weighted average)	Rs 37.5 lakh
Capitalisation rate (cost of equity 18% plus 2% for single-unit, customer concentration)	20%
Equity value (maintainable profit / rate)	Rs 187.3 lakh

At a capitalisation rate between 18% and 22% the value ranges from Rs 170 to 208 lakh. The rate is an assumption for this sample; a live report shows how it is built.

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Market approach: EV/EBITDA

The multiples below are assumptions for this sample, not market data. A live engagement documents listed companies and recent transactions in the sector, with dates and sources, and adjusts for size and liquidity. Small unlisted manufacturers usually trade at a discount to listed peers.

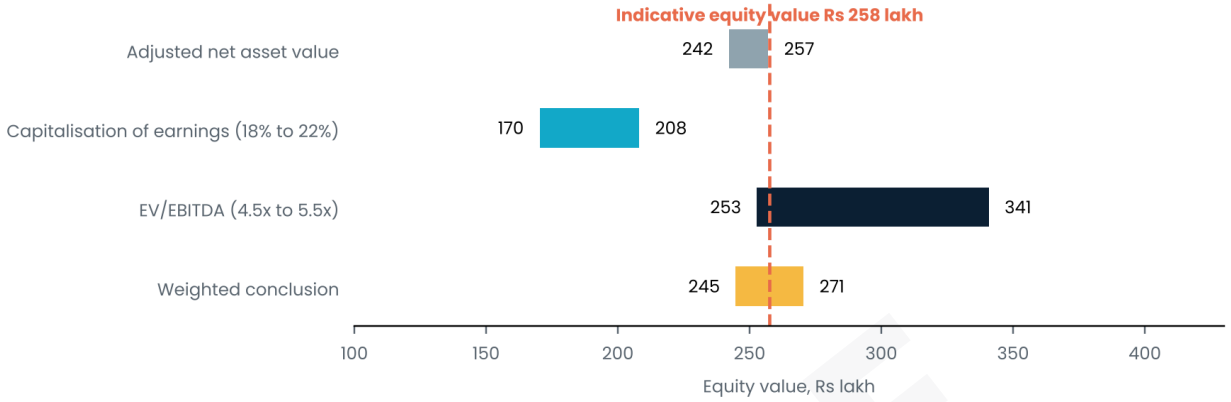
	Low 4.5x	Mid 5.0x	High 5.5x
FY26 EBITDA (Rs lakh)	88.0	88.0	88.0
Enterprise value	396.0	440.0	484.0
Less: net debt	(143.2)	(143.2)	(143.2)
Equity value (Rs lakh)	252.8	296.8	340.8

The mid multiple of 5.0x is used. Reasons to sit mid-range: stable margins and modest utilisation headroom argue upward; customer concentration and a single unit argue downward.

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Reconciliation and value of the stake



Rs lakh	Value
Weighted equity value, 100%	257.6
28% pro rata	72.1
Discount for minority position and lack of marketability (15%)	(10.8)
Indicative value of the 28% stake	61.3

The 15% discount reflects that a 28% holder cannot control dividends or strategy and that the shares are unlisted. Where the other shareholders buy the stake and gain control or a larger share, they may agree a smaller discount. Both figures are shown so the parties can see the range.

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Conclusion, limiting conditions and declaration

Conclusion

On the stated assumptions, the indicative equity value of Demo Precision Components Private Limited as at 31 March 2026 is about Rs 258 lakh, and the indicative value of a 28% stake is about Rs 61 lakh after a 15% discount (Rs 72 lakh pro rata). This conclusion applies to this fictional company only.

Limiting conditions

- Valid only for the stated purpose and valuation date.
- Information is relied on as supplied and has not been audited. FY26 is a management estimate.
- A valuation is an estimate, not a price. Negotiation, financing and the parties' own views can lead to a different price.
- No legal or tax advice. Tax on the transfer, stamp duty and the transfer restrictions in the shareholders' agreement should be reviewed by advisers.
- A valuation for a statutory purpose needs a registered valuer's report.

Declaration

The valuer declares that the report is prepared independently, that the valuer has no interest in the Company or its shareholders, and that the fee does not depend on the conclusion. This is a sample and carries no signature.

For AlphaZet Services	Review
[Name of responsible professional] (sample, not signed)	Prepared by: analyst (sample)

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